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2027 CYCLE

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CUET UG

Economics

Open Economy Macroeconomics

Official Syllabus · Course II: Introductory Macroeconomics · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Economics syllabus 2026, the current 2027 baseline, Course II)	Skills the questions test
Balance of payments	Balance of payments account — meaning and components; balance of payments — surplus and deficit	Sorting current-account from capital-account items, autonomous from accommodating, and diagnosing a BoP surplus or deficit.
Exchange rate regimes	Foreign exchange rate — meaning of fixed and flexible rates and managed floating; merits and demerits of exchange rate regimes	Comparing the three regimes and weighing each one's strengths and weaknesses.
Determination of exchange rate	Determination of exchange rate; managed floating	Using demand and supply of foreign exchange to find the equilibrium rate and predict depreciation or appreciation.

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EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. The Economics paper follows NCERT Class 12 Economics; this closing macro unit is vocabulary-and-direction country — classification pairs (visible/invisible, autonomous/accommodating) and depreciation-vs-appreciation direction checks are quick scorers.

The Balance of Payments: A Country's Account Book

Every year, Indians sell software to America, buy crude from the Gulf, receive remittances from Dubai, and welcome Toyota's factories. The **balance of payments (BoP)** is the complete double-entry account book recording ALL these transactions between India's residents and the rest of the world. Money coming in is a CREDIT; money going out is a DEBIT — like a bank passbook for the whole nation.

Account	What it records	Items
Current account	Flows of goods, services, income and transfers — things CONSUMED within the year; no change in ownership of assets	Merchandise (visible), services and income (invisibles), current transfers
Capital account	Flows that CHANGE ownership of assets — claims on each other's economies	FDI, portfolio investment, loans and banking capital, official reserves

- **Balance of trade (BoT):** exports minus imports of GOODS only — the visible slice, a sub-part of the current account. The current account is much bigger: services (India's software exports!) and remittances often outweigh the goods gap.
- **Visible vs invisible items:** goods are visible (you can touch the tea crate); services, income and transfers are invisible (software delivered over fibre, a worker's remittance).
- **BoP always balances in the accounting sense** — debits equal credits once official reserves are counted. The interesting question is whether the AUTONOMOUS items balance on their own.

The Current Account: Earning This Year

The current account gathers everything that is earned, spent or gifted WITHIN the accounting year.

- **Merchandise trade (visibles):** exports and imports of physical goods — tea, textiles, machinery, crude oil. Its balance is the **balance of trade**.
- **Services (invisibles):** software and IT-enabled services, transport, insurance, tourism, students' fees.
- **Income:** interest, profit and dividends flowing between countries on past investments — Apple India's profits going home, Indian firms' earnings from US assets.
- **Current transfers:** remittances from NRIs, gifts, donations — one-way flows with nothing given in exchange.
- **Current account balance:** credits minus debits on all four heads. A surplus means the country EARNED more from the world than it paid; a deficit means the reverse — financed by the capital account.

The Capital Account: Assets Changing Hands

When ownership of assets crosses borders, the capital account records it — and these flows fund (or drain) whatever the current account lacks.

- **Foreign Direct Investment (FDI):** building factories, buying control — a lasting stake (Toyota's plant in Gujarat).
- **Portfolio investment:** buying shares and bonds WITHOUT control — hot money that can exit as fast as it came (FII flows).
- **Loans and banking capital:** external commercial borrowings, NRI deposits, repayment of loans.

- **Official reserve transactions (RBI):** the central bank's own buying/selling of foreign currency — the accommodating item.

Motive class	Meaning	Examples
Autonomous items (above the line)	Undertaken for PROFIT or personal reasons — whatever the BoP happens to be	Exports, imports, FDI, portfolio flows, remittances
Accommodating items (below the line)	Undertaken ONLY to balance the BoP — government/RBI decisions	RBI drawing down or building foreign exchange reserves

- **BoP surplus:** autonomous receipts EXCEED autonomous payments — the excess flows into reserves (the RBI's foreign exchange chest grows).
- **BoP deficit:** autonomous payments EXCEED autonomous receipts — the gap is covered by drawing down reserves or borrowing officially. Persistent deficits signal deep trouble (the 1991 crisis that launched India's reforms).
- **Remember the purpose test:** would this transaction happen even if the BoP were perfectly balanced? Yes → autonomous. It exists only to plug the hole → accommodating.

Foreign Exchange Rate: Fixed, Flexible, Managed Floating

The **foreign exchange rate** is the price of one currency in terms of another — say, ₹80 for one US dollar. Like any price, it can be set by fiat or found by the market; nations choose among three regimes.

Regime	How the rate is set	Merits	Demerits
Fixed	The government/central bank PEGS the rate and buys/sells foreign currency to hold it there	Certainty for traders and investors; speculation tamed; discipline on policy	Flexible (floating)
Market demand and supply of foreign exchange decide, with no official target	No reserve drain defending the peg; monetary policy stays free; the rate self-adjusts to shocks	Managed floating	Market decides in normal times; the central bank STEPS IN to smooth extreme swings — the "dirty float" that India actually runs
Market efficiency plus an official shock-absorber; volatility tamed			

Regime	How the rate is set	Merits	Demerits
without killing the price signal			

- **Fixed regime's dark side:** defending a peg burns reserves fast; when the pressure becomes unbearable, the government may cut the peg deliberately — a DEVALUATION (a policy act, distinct from market depreciation).
- **Flexible regime's dark side:** wild swings make exporters' and importers' planning a gamble; speculators can amplify moves.
- **Why the world mostly floats managed:** pure regimes are brittle — the managed float keeps the price signal but caps the chaos.

Determination of the Exchange Rate

Under a flexible (or managed) regime, the exchange rate is just another market price — for FOREIGN CURRENCY. Demand and supply of dollars meet and the rupee price of the dollar is born.

- **Demand for foreign exchange (₹ spent to buy $):** importers paying for goods, Indians investing or travelling abroad, government payments abroad. It slopes "DOWNWARD" — cheaper dollars make imports more affordable, so quantity demanded rises.
- **Supply of foreign exchange ($ earned by India):** exporters' earnings, FDI and portfolio inflows, remittances, foreign tourists. It slopes "UPWARD" — costlier dollars make Indian goods cheaper for the world, so more dollars flow in.
- **Equilibrium:** where demand equals supply — say ₹80 per dollar. Any other price creates excess demand (rupee weakens) or excess supply (rupee strengthens).

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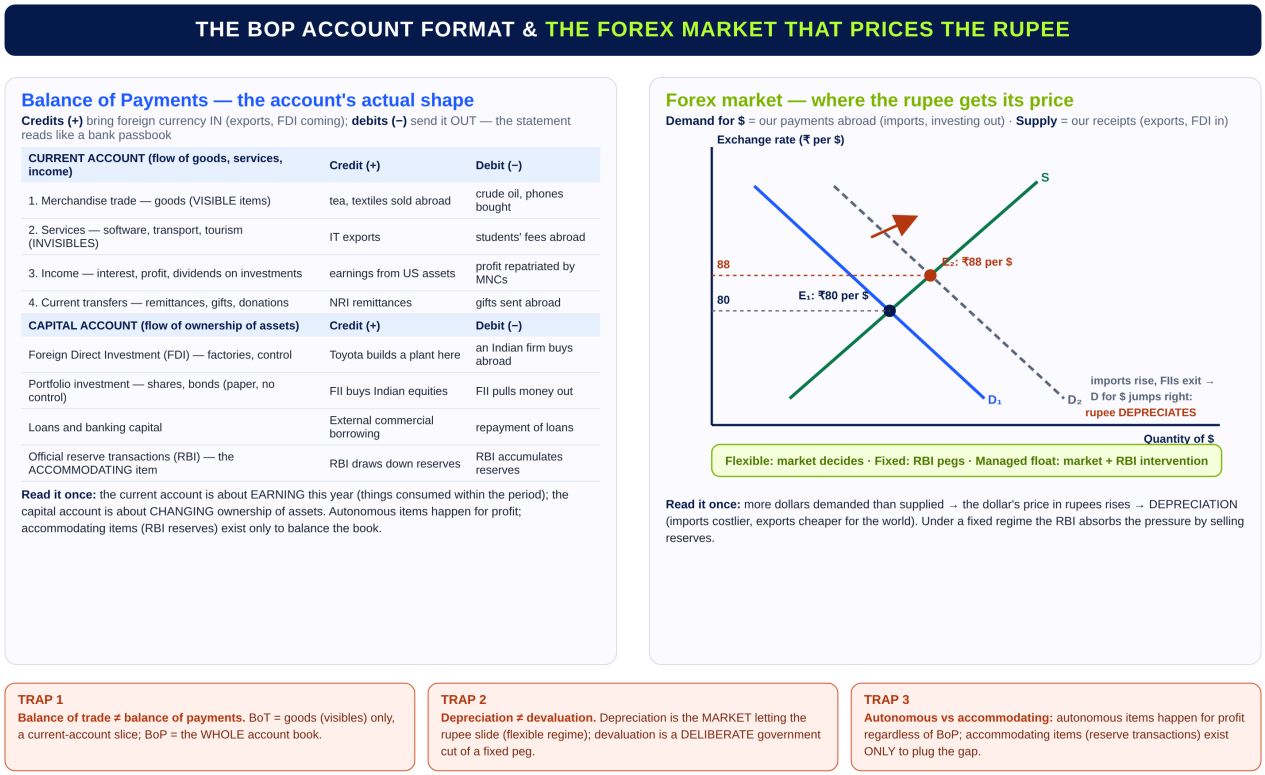


Figure 1: The BoP account's actual statement shape (left): current and capital accounts with credits and debits, ending in official reserve transactions. The forex market (right): a demand jump for dollars moves the rate from ₹80 to ₹88 — rupee depreciation.

- **Depreciation:** the rupee buys FEWER dollars (₹80 → ₹88 per $). Imports costlier, exports cheaper for the world; triggered by import surges, "FII" exits, or higher home inflation.
- **Appreciation:** the rupee buys MORE dollars (₹88 → ₹80 per $). Imports cheaper, exports costlier abroad; triggered by export booms, heavy "FDI" inflows.
- **Read the axis before answering:** "₹ per $" rising means the DOLLAR strengthened and the rupee weakened — the classic direction trap.

Key Formulas & Rules: One-Stop Revision

OPEN ECONOMY — EVERY RULE ON ONE PAGE

Rule	Statement	When to use it
BoP	Double-entry record of ALL resident–world transactions	Definition
Current account	Goods (visible) + services, income, transfers (invisible)	Earning flows of the year
Balance of trade	Goods exports − goods imports ONLY	The narrow slice — never call it BoP

Rule	Statement	When to use it
Capital account	FDI, portfolio, loans, banking capital, reserves	Asset-ownership flows
Autonomous	Profit-motivated, BoP-blind	Above the line
Accommodating	Official reserve transactions plugging the gap	Below the line
BoP surplus	Autonomous receipts > payments → reserves build	Diagnosis
BoP deficit	Autonomous payments > receipts → reserves drain	Diagnosis; 1991-style crises
Fixed rate	Central bank pegs and defends it	Certainty vs reserve drain
Flexible rate	Market D and S decide	Freedom vs volatility
Managed floating	Market + RBI smoothing — India's regime	The compromise answer
Depreciation	₹ per $ "RISES" — imports costlier, exports cheaper	Direction checks
Appreciation	₹ per $ "FALLS" — imports cheaper, exports dearer	Direction checks

Common Errors & Special Cases

THE TRAPS THIS UNIT SETS — READ BEFORE THE MOCK

The rule you assume	The twist	The trap in the question
"Balance of trade = balance of payments"	BoT is goods only — a current-account slice; BoP is the whole book	Scope-difference MCQs
"Depreciation and devaluation are synonyms"	Depreciation is the MARKET's doing; devaluation is a DELIBERATE cut of a fixed peg	Regime-based wording
"Remittances are capital account"	Gifts and remittances are one-way CURRENT transfers	Item-classification MCQs

The rule you assume	The twist	The trap in the question
"Reserve transactions are just another flow"	They are the ACCOMMODATING plug — the BoP's balancing figure	Autonomous vs accommodating
"₹ per $ rising means a strong rupee"	It means the DOLLAR strengthened — the rupee DEPRECIATED	Direction-reading traps
"Deficits bankrupt a country instantly"	Deficits are financed by reserves/borrowing — persistent ones are the danger (1991)	BoP-deficit consequence
"Fixed rates never change"	They hold until devaluation — a sudden, deliberate jump	Fixed-regime history checks
"India runs a pure float"	India manages the float — the RBI steps in against wild swings	Regime-identification MCQs

The 60-Second Self-Test

Cover the answers, say each one aloud, then check. If any answer takes longer than ten seconds, revisit that section.

- **NRI sends ₹1 lakh home.** Which account, which head? → Current account — current transfers (invisible).
- **FII sells ₹5,000 cr of Indian shares and exits.** Capital account — and the rupee? → Capital outflow; demand for $ rises — rupee depreciates.
- **Autonomous receipts ₹90, autonomous payments ₹110 (in $ bn).** BoP verdict? → Deficit of 20 — covered by reserve drawdown.
- **Rate moves from ₹60 to ₹65 per $.** Appreciation or depreciation — of what? → Rupee "DEPRECIATES" (more rupees per dollar).
- **Which regime burns reserves defending the rate?** → Fixed — the RBI sells forex to hold the peg.
- **India's actual regime?** → Managed floating — market plus RBI intervention.

The Whole Chapter in One Picture



Figure 2: Chapter mindmap: the BoP's two accounts, autonomous versus accommodating, the three exchange-rate regimes, forex demand and supply, depreciation mechanics, and regime trade-offs — with the traps that catch most students.

Practice Questions (Exam Pattern)

Ten questions in the CUET UG style. Attempt all of them — the paper gives +5 for each correct answer and −1 for every incorrect answer.

Q1. The balance of payments account records:

(A) only trade in goods
(B) only capital flows
(C) all economic transactions between residents and the rest of the world
(D) only government transactions

Q2. Which of the following is a CURRENT account item?

(A) foreign direct investment
(B) NRI remittances
(C) external commercial borrowing
(D) sale of RBI reserves

Q3. Balance of trade refers to:

(A) exports minus imports of goods only **(B)** the whole current account
(C) the whole BoP **(D)** exports minus imports of services

Q4. Items that are undertaken for profit regardless of the BoP position are called:

(A) accommodating items **(B)** autonomous items
(C) official reserve transactions **(D)** transfer items

Q5. A BoP deficit means:

(A) autonomous receipts exceed autonomous payments **(B)** autonomous payments exceed autonomous receipts
(C) the budget is in deficit **(D)** reserves are rising

Q6. Under a FIXED exchange rate regime, the rate is determined and maintained by:

(A) market forces **(B)** the central bank's intervention
(C) the World Bank **(D)** exporters alone

Q7. If Indian imports from the US rise sharply, the demand for dollars … and the rupee …:

(A) rises; appreciates **(B)** rises; depreciates
(C) falls; depreciates **(D)** falls; appreciates

Q8. Managed floating is a system in which:

(A) the rate is fully fixed by the government **(B)** the market decides but the central bank intervenes to smooth swings
(C) no currency conversion is allowed **(D)** the rate changes only once a year

Q9. Depreciation of the rupee makes:

(A) Indian exports cheaper for foreigners **(B)** imports cheaper for Indians
(C) foreign tourists pay less in rupees **(D)** FII investing cheaper

Q10. India's exchange rate regime is best described as:

(A) a hard fixed peg to the dollar **(B)** a freely floating rate with no intervention
(C) managed floating **(D)** a currency board

Detailed Solutions

Each solution shows the working, not just the verdict — cover the answer line, attempt the reasoning, then compare.

Sol. Q1. BoP is the FULL double-entry account book: goods, services, income, transfers, and all asset flows between residents and the world. Trade-only or government-only definitions capture slices, not the book.

Answer: (C)

Sol. Q2. Remittances are one-way current transfers — income sent home with nothing exchanged in return, consumed within the year. FDI, loans and reserve sales are asset-ownership flows: capital account.

Answer: (B)

Sol. Q3. Balance of trade nets GOODS (visibles) only — the oldest, narrowest slice. Services and transfers keep it far from the full current account, let alone the whole BoP.

Answer: (A)

Sol. Q4. Autonomous items answer profit and personal motives — they would happen however the BoP stood. Accommodating items and reserve transactions exist precisely because the autonomous items did not balance.

Answer: (B)

Sol. Q5. With autonomous payments outrunning receipts, the gap must be plugged by drawing down reserves or official borrowing — the definition of a BoP deficit (reserves FALL, not rise).

Answer: (B)

Sol. Q6. A fixed rate is a policy commitment: the central bank stands ready to buy and sell foreign currency at the pegged price, absorbing every market pressure.

Answer: (B)

Sol. Q7. More imports mean more dollars demanded — the D for dollars shifts right. At the new crossing the dollar's rupee price is HIGHER: the rupee has depreciated.

Answer: (B)

Sol. Q8. Managed floating keeps the market price signal but lets the RBI lean against extreme swings — buying or selling reserves to smooth, not to fix. India's own regime.

Answer: (B)

Sol. Q9. A depreciated rupee means each dollar costs more — so foreigners need fewer of THEIR units to buy Indian goods: exports get cheaper abroad, imports get costlier at home.

Answer: (A)

Sol. Q10. India lets the market set the rate in normal times but intervenes against excessive volatility — the textbook managed floating, also called the dirty float.

Answer: (C)

Wrong-Answer Clinic — the one-line corrections

Dropped marks above? Find your slip here and rewrite the corrected rule in your own words.

If you answered...	Your slip was...	The corrected rule, in one line
Q2 option A	Letting big money mean current money	FDI buys ASSETS — capital account; remittances are one-way income — current
Q3 option B	Stretching BoT to services	BoT is goods only; services and transfers lift it to the current account
Q5 option D	Reading reserves as the surplus signal	A deficit DRAINS reserves; rising reserves mean autonomous SURPLUS
Q7 option C	Reversing the demand effect	More imports = MORE dollars demanded = costlier dollars = weaker rupee
Q9 option B	Forgetting who pays in rupees	Depreciation taxes importers (costlier) and subsidises exporters (cheaper) — imports get dearer
Q10 option B	Believing India never intervenes	The RBI smooths extremes — managed floating, not a pure float

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